NORTHBRIDGE
LOGISTICS

MANAGEMENT REPORT

More miles, the same profit

FY2025

REPORTING ENTITY
Northbridge Logistics Ltd

REPORTING PERIOD
FY2025, with FY2024 comparative

PRESENTATION CURRENCY
Pound sterling (£), compact notation

STATEMENTS PROVIDED
Profit and loss account only

Contents

NOTATION

AC · PY actual solid black, prior year solid grey

PL · FC budget hollow, forecast hatched

Deviation green favourable, red unfavourable

Bars · pins absolute values, relative values

Prepared from the profit and loss account for Northbridge Logistics Ltd for the financial year 2025, supplied in GBP thousands and restated here in pounds. **AC** actual (FY2025) · **PY** prior year (FY2024). No budget, forecast, balance sheet, cash flow or segment data was provided, so no plan variance, liquidity or segment analysis appears in this report. All subtotals in the source foot in both years.

Financial highlights

Northbridge Logistics Ltd · FY2025 against FY2024 · amounts in pounds

RESULT MEASURES

	FY2025	FY2024	ΔPY	ΔPY %
Revenue	£65.8M	£59M	+£6.8M	+11.5
Gross profit	£19.4M	£18.3M	+£1.1M	+6.0
Operating profit	£8.9M	£8.5M	+£400K	+4.7
Profit before tax	£7.3M	£7.3M	£0	0.0
Profit for the year	£5.5M	£5.5M	£0	0.0

COST BASE — AN INCREASE HERE IS UNFAVOURABLE

	FY2025	FY2024	ΔPY	ΔPY %
Fuel and vehicle costs	£21.4M	£17.9M	+£3.5M	+19.6
Driver and depot wages	£19.1M	£17.6M	+£1.5M	+8.5
Subcontracted haulage	£5.9M	£5.2M	+£700K	+13.5
Administrative expenses	£8.7M	£8.1M	+£600K	+7.4
Sales and marketing	£2.4M	£2.2M	+£200K	+9.1
Net finance costs	£1.6M	£1.2M	+£400K	+33.3

REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	PBT MARGIN	EFFECTIVE TAX RATE
+11.5%	**29.5%**	**13.5%**	**11.1%**	**24.7%**
no FY2023 comparative	FY2024 31.0% · −1.5pp	FY2024 14.4% · −0.9pp	FY2024 12.4% · −1.3pp	FY2024 24.7% · flat

Northbridge grew 11.5% and earned no more money for it. Revenue rose £6.8 million to £65.8 million, yet profit before tax finished at £7.3 million — the same figure as FY2024, to the nearest hundred thousand — and profit for the year was unchanged at £5.5 million. Every measure above the gross profit line improved; every margin fell.

The cost base is where the growth went. Cost of sales rose 14.0% against revenue growth of 11.5%, and fuel and vehicle costs alone rose 19.6%, or £3.5 million — over half of the entire revenue increase. Below the operating line, net finance costs rose a third, £0.4 million, which is exactly the amount by which operating profit improved.

Growth and margin percentages are computed from the source statement. FY2024 revenue growth is not shown because no FY2023 comparative was supplied.

Results of operations

Profit and loss account, FY2025 with FY2024 comparative · amounts in pounds

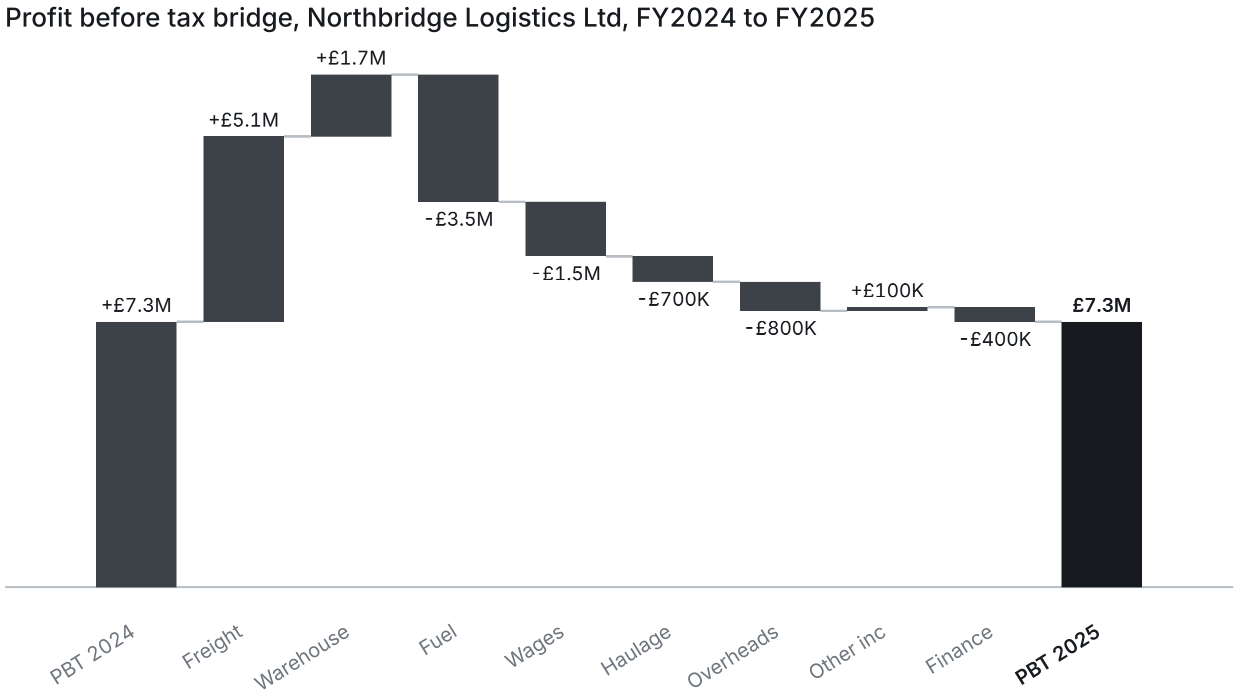
	PY	AC	ΔPY	ΔPY%
▼ = **Revenue**	**£59M**	**£65.8M**	**+£6.8M**	**+11.5**
Freight revenue	£43.1M	£48.2M	+£5.1M	+11.8
Warehousing revenue	£15.9M	£17.6M	+£1.7M	+10.7
▼ – Cost of sales	£40.7M	£46.4M	+£5.7M	+14.0
– Fuel and vehicle costs	£17.9M	£21.4M	+£3.5M	+19.6
– Driver and depot wages	£17.6M	£19.1M	+£1.5M	+8.5
– Subcontracted haulage	£5.2M	£5.9M	+£700K	+13.5
= **Gross profit**	**£18.3M**	**£19.4M**	**+£1.1M**	**+6.0**
– Administrative expenses	£8.1M	£8.7M	+£600K	+7.4
– Sales and marketing	£2.2M	£2.4M	+£200K	+9.1
Other operating income	£500K	£600K	+£100K	+20.0
= **Operating profit**	**£8.5M**	**£8.9M**	**+£400K**	**+4.7**
– Net finance costs	£1.2M	£1.6M	+£400K	+33.3
= **Profit before tax**	**£7.3M**	**£7.3M**	**£0**	**0.0**
– Tax	£1.8M	£1.8M	£0	0.0
= **Profit for the year**	**£5.5M**	**£5.5M**	**£0**	**0.0**

The statement divides cleanly at gross profit. Both revenue streams grew at roughly the same rate — freight up £5.1 million (+11.8%) and warehousing up £1.7 million (+10.7%) — so the mix is essentially unchanged at 73% freight. What changed is what it cost to deliver: cost of sales grew £5.7 million, absorbing 84 pence of every extra pound of revenue, and gross profit therefore advanced only 6.0%.

Fuel and vehicle costs are the outlier. They grew 19.6% against 11.5% revenue growth, and now take 32.5% of revenue against 30.3% last year; held at the FY2024 ratio they would have been some £1.4 million lower, which is more than the whole shortfall against a flat gross margin. Wages, at +8.5%, grew more slowly than revenue and were the one favourable line in the cost base. Overheads were disciplined — administrative expenses +7.4% and sales and marketing +9.1%, both below revenue growth — so operating profit still improved 4.7%. Net finance costs then took all of it. The source statement gives no explanation of the £0.4 million increase, and without a balance sheet it cannot be attributed to borrowings or to rate.

What happened to profit

Bridge from FY2024 to FY2025 profit before tax · amounts in pounds



Columns are the FY2025 minus FY2024 movement on each line of the profit and loss account. Freight and Warehouse are the two revenue streams; Fuel is fuel and vehicle costs; Wages is driver and depot wages; Haulage is subcontracted haulage; Overheads combines administrative expenses (−£600K) with sales and marketing (−£200K); Finance is net finance costs. No budget was supplied, so no plan variance panel is drawn beneath the bridge.

£6.8 million of new revenue was fully consumed before it reached profit before tax. The two revenue streams contributed £6.8 million between them; the cost lines took £6.9 million back, and other operating income returned £0.1 million, leaving profit before tax at £7.3 million for the second year running.

Three columns account for the outcome. Fuel and vehicle costs (−£3.5 million) are the largest single subtraction in the bridge and larger than warehousing revenue's whole contribution. Wages and subcontracting together (−£2.2 million) are the price of moving more freight and grew broadly in line with it. Finance costs (−£0.4 million) are small in absolute terms but decisive: they are the difference between a year that showed a modest 4.7% improvement in operating profit and one that showed no improvement at all.

The question the bridge raises is whether the fuel and vehicle step is price or consumption. Nothing in the data supplied separates the two, and the distinction decides whether FY2026 recovers the 1.5 points of gross margin on its own or has to be fixed. A balance sheet and a monthly series would settle both that and the finance cost movement.